

Flood Lines in Time: Temporality and Capitalization of Climate Risk in the Jersey Shore Housing Market

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Abstract

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1 Introduction

2 Literature Review

Literature on climate risk capitalization in housing markets has grown significantly in recent years, as flooding and sea-level rise becomes bigger concern for property-owners. As housing is the usually the main financial asset of the populations, and major part of the wealth accumulation, scholarship has been attempting at evaluating whether climate has effect on the housing price, as well as the extent of it. Overall, there is a consensus of the presence of the aforementioned effect: properties located in flood-zone or in zones of possible sea-level rise, get a discount when sold or assessed. However, researchers point out that this effect is heterogeneous and depends on variety of factors of the locality (Baldauf et al., 2020; Murfin & Spiegel, 2020; Sussman et al., 2014).

Gourevitch et al. (2023) find that residential properties exposed to the flood risk are overvalued by around \$130 billion, especially those located in coastal areas with no laws regarding disclosure of flood risk. Another estimate by Hino and Burke (2020) provides a value of \$34 billion for floodplain homes overvaluation, while pointing out that this effect is more important for commercial property rather than residential. Contrary to that, Putra (2017) highlights that presence in the high risk flood zones increasingly residential property, especially those that were previously affected by the natural disaster based on the case-study of housing submarket in the state of New Jersey. Gibson et al. (2017) suggests that each flood risk event, such as hurricane or publication

of the new flood risk map decreases sale price of property by 5 percent. Similarly, other studies find that rather than climate risk affecting property values by itself, the more important aspect is whether information about climate risk exists in the housing market, both in terms of public awareness, available data due to laws and regulations, news or whether community beliefs in climate change (Baldauf et al., 2020; Bunten & Kahn, 2014; Chen, 2025; Hino & Burke, 2020).

As climate risk capitalization in property values is a heterogeneous effect, the interest of current paper lies in the realm of whether this effect is different for seasonal and year-round residential properties. Second home tourism and short-term rental properties have shown to have significant influence on the housing submarkets and local economies (Collado-González et al., 2025; Gil, 2024; Perles-Ribes et al., 2025; Valenzuela-Martin et al., 2025; Wassmer, 2022). Despite considerable amount of scholarship focused on climate risk capitalization in property values and residential properties in particular, there is very limited coverage of how climate risk capitalization is different based on the seasonality status of the property, or in other words, whether there is any significant interaction between seasonality status of the property and climate risk capitalization. Therefore, the research question that guides this paper could be formulated as is there a difference in terms of climate risk price adjustment for seasonal, meaning second home or short-term rentals, versus year-round, meaning properties where residents reside for the most of the year, residential properties?

Climate risk capitalization puts low income communities at greater risk (Gourevitch et al., 2023), while second home and short-term rentals introduction into housing submarkets can further exaggerate housing crisis (Collado-González et al., 2025; Gottlieb, 2013; Perles-Ribes et al., 2025) which also mainly affects low-income communities. Therefore, interaction between seasonality and climate risk is an important policy issue, as if both of the factors would be in play in the housing market such as Jersey Shore, it might further perpetuate existing inequalities and displace local residents.

3 Data and Methods

3.1 Jersey Shore as a Study Area

This study specifically focuses on the Jersey Shore housing submarket, as a market that has significant risk of climate risk capitalization, as has been highlighted by previous studies (Andrews, 2025; Putra, 2017). I define study area using the coastal planning area that is defined in the New Jersey Coastal Area Facility Review Act of 1974, which authorized Department of Environmental Protection to manage development along the coastline, and is thus coastal planning area. Simplified boundary of the area is presented in Figure 1a. It consists of the part of four counties: Atlantic, Cape May, Monmouth, and Ocean. Data collection and analysis described in the next sections is performed for this area.

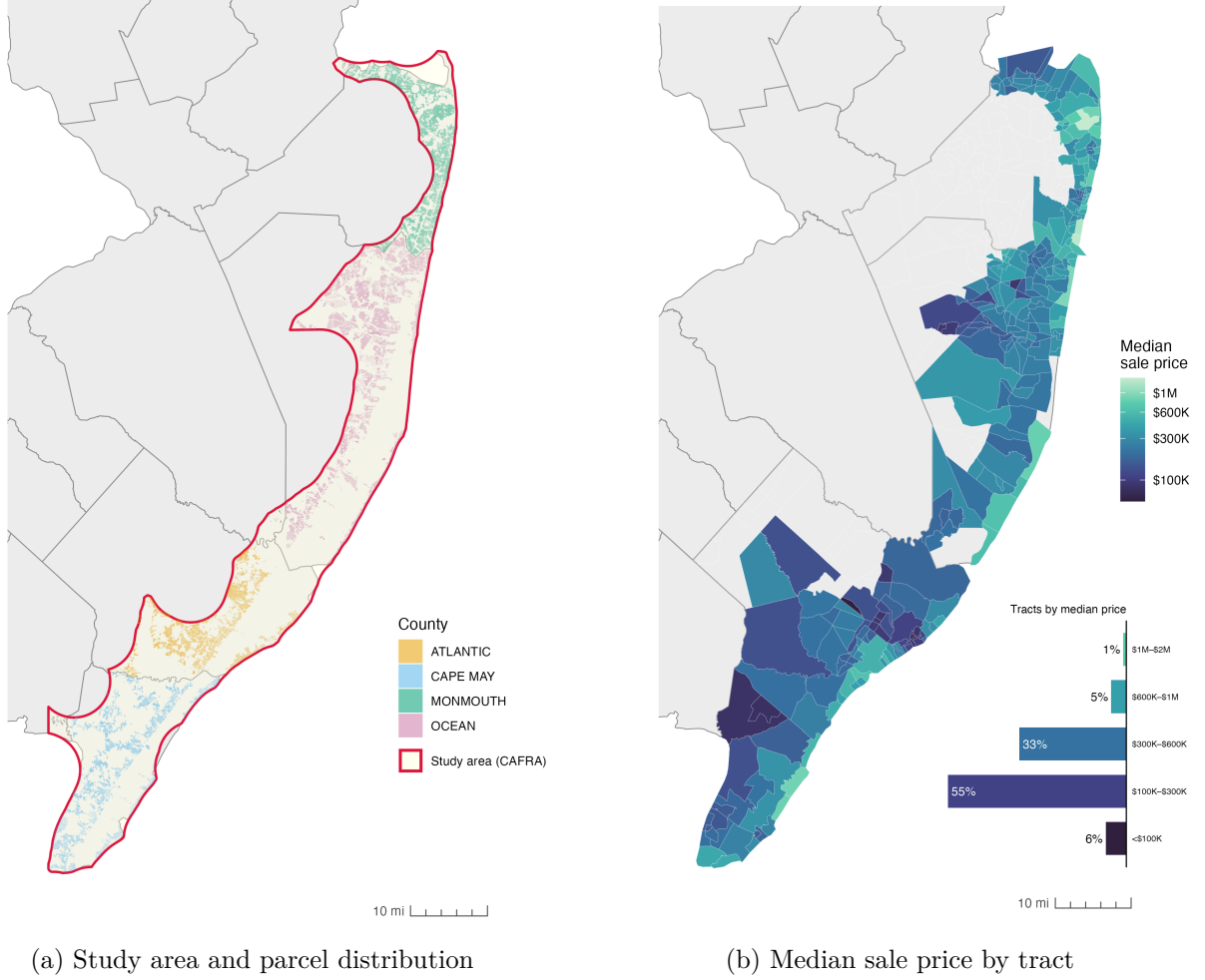


Figure 1: *Spatial context and key variable used in the analysis.* Note. Figure (a) shows the Jersey Shore study area and parcel sample by county; figure (b) maps census tract-level median sale price (2023).

3.2 Property Data

As the base dataset, this paper utilizes New Jersey MOD-IV historical database. It contains of real estate parcel data maintained by municipal assessors, and includes information of parcel characteristics, including assessed value of land and dwellings, building characteristics, property taxes. Specifically, I collect data on residential parcels defined through property tax classes for 10 years, ranging from 2015 to 2025. In order to enrich collected data using other datasources and select only parcels located at the Jersey Shore, I join the parcel data with spatial data on parcel geometries, available through NJ GIS website.

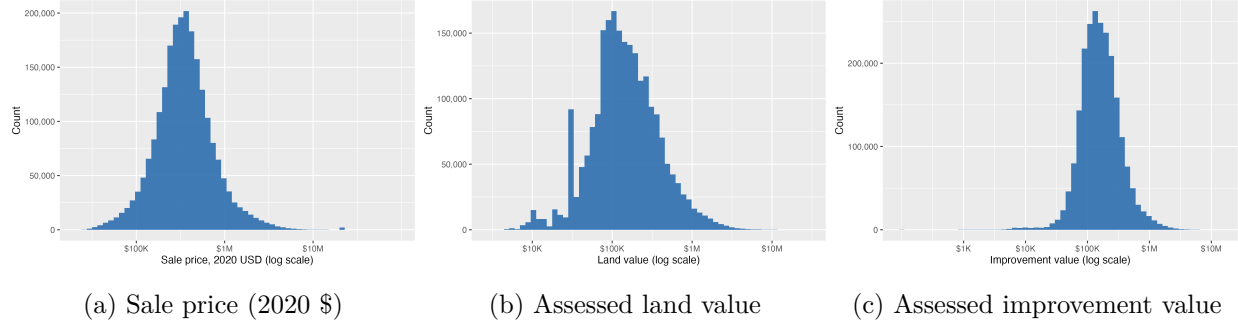


Figure 2: *Distributions of sale price and assessed values.* Note. Sale price is inflation-adjusted to 2020 dollars and excludes non-market transactions below \$20,000; land and improvement values are as assessed by the municipality.

3.3 Additional Datasources

As a proxy for flood risk, I collect Federal Emergency Management Agency’s (FEMA) National Flood Hazard Layer (NFHL) for the state of NJ. It consists of information on spatially referenced flood risk zones with different levels of risk. As a proxy for seasonality status of the parcel, I download American Community Survey (ACS) data on number of seasonal housing units and total number of housing units at the census tract level for two time periods (2013 and 2023). US Census Bureau defines seasonal housing unit as ”seasonal housing units are those intended for occupancy only during certain seasons of the year and are found primarily in resort area” (US Census Bureau, n.d.), i.e., units that are occupied persons with usual residence elsewhere only during parcular times, which fits into the essence of second homes and short-term rental market at the Shore.

3.4 Regression Analysis

To examine the climate risk capitalization at the Jersey Shore’s housing submarket, this study employs hedonic regression approach for pooled cross-sectional data. Hedonic regression have been conventionally accepted models for studies where dependent variable (DV) is related to the price of goods or services, including housing price. Such approach has been also employed in previous studies of climate risk capitalization (see for instance Putra, 2017). As described below, DV of the current study is sales price, which is regressed against variables of interests related to flooding risk, housing seasonality and selected controls, making such research design applicable to the aforementioned research question. I describe model specification, included variables, their cleaning, and transformation, as well as research design choices in the following sections.

3.4.1 Dependent Variable

Dependent variable of the regressions model is sales price of the parcel. MOD-IV historical database includes information on sales price and sales year, meaning when this parcel of land was

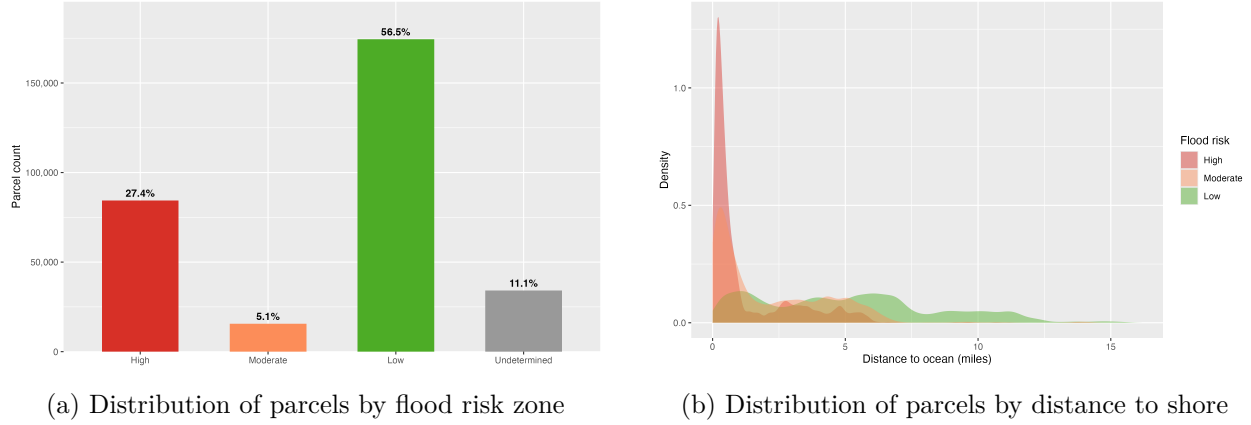


Figure 3: *Flood risk and proximity to shore for parcels in the study area.* Note. Figure (a) shows the share of parcels by FEMA flood risk zone; figure (b) shows the distribution of parcel distances to the shoreline.

sold and for what dollar value. Each parcel can have unlimited amount of transaction events that would be reflected in the database. However, based on the conducted explanatory data analysis, very few parcels in the sample, have had multiple transaction. Most of them have one or two records transactions. It is important to note, that MOD-IV collects sales price information for the last sale that have occurred to the property, which means that if the parcel was last sold in the year 2000, that would be recorded sale price that we utilize as DV.

To account for this aspect, we adjust sales price from nominal dollar value to real value in 2020 dollars, using Consumer Price Index data and sales year variable provided in the MOD-IV database. Year 2020 is selected as a reference year in order to avoid effects of post COVID-19 rise in housing prices.

Additionally, all the nominal sales are excluded from the analysis, meaning transactions that did not occur in market conditions, but were rather transfer of property rights within family or other related parties. These transactions usually are noted by the sale price of \$0 or \$1. Additionally, I filter out records where sales price is less than \$20,000 for the same reason of them not being real market-rate sale transactions. The value threshold is determined by scholarship conventions. The dependent variable is log-transformed to avoid common for the sales price data skewness to the right.

Figure 1b shows median sale price aggregated at the census tract level. More than half of the tracts has a median selling price within the range of \$100,000 to \$300,000. The spatial pattern of median price is evident as well: tracts closer to the ocean have on average higher selling price compared to the inland tracts. This observation is consistent with other studies related to the Shore, and can be explained by the fact that market actors value proximity to the ocean more due to proximity to the beach and the ocean view.

3.4.2 Independent Variables

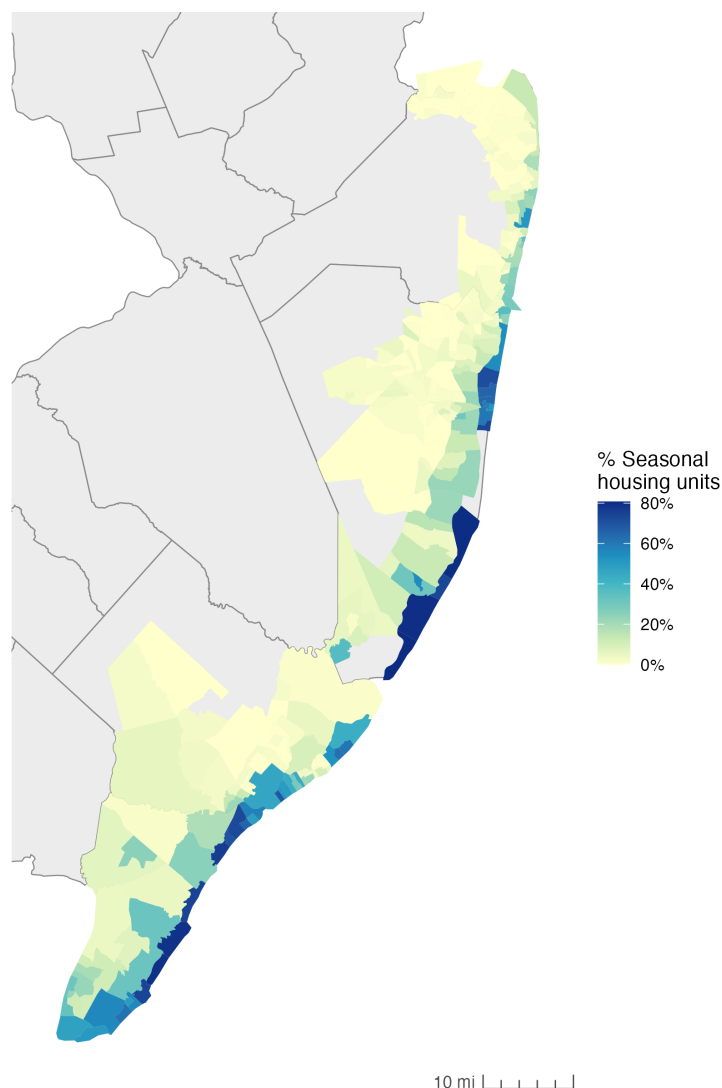


Figure 4: *Share of seasonal housing units by census tract.* Note. Percent of seasonal units derived from ACS data; tracts closer to the ocean tend to have a higher share of seasonal units.

There are three independent variables (IV) of interest. First, flood zone, a categorical variable, which is generated from the FEMA NFHL data, which classify floodplain into multiple zones. For simplification, those zones are aggregated into four types: high, moderate, and low risk, as well as undetermined zone, which represent open water areas of the shore and areas for where flooding risk exists but was not assessed. All the parcels in the undetermined zones are dropped from the analysis, as it is not feasible to meaningfully compare this category to zones with quantified flood risk. Low-risk served as the omitted reference category in the regression analysis. As can be seen in Figure 3a, majority of the parcels in our study area have low level of flood risk. Second most populous category is high risk, while very few parcels have moderate risk of flooding.

Second, IV of interest is distance to the shore, generated using spatial analysis techniques. Scholarship on climate risk capitalization has proven it to be an important variable (Murfin & Spiegel, 2020; Putra, 2017), which however, might have unexpected effect. On one hand, being close to the shore implies higher risk of flooding during natural hazards, as well as long-term damage due to sea-level rise. On the other hand, being close to the Shore, especially having view on the water or being in walking proximity to the beach is considered advantage for the residential property. As evident from the Figure 3b, a major part of parcels in the sample are in close proximity to the ocean, which also correlates with having high level of flood risk. This variable is also log-transformed to account for the effect that distance has on property values: difference between being 200 and 1000 feet away is assumed to be significant for the property values, while being 5 or 5.1 miles away is not supposed to have any effect.

Third, seasonality variable, which is defined through proxy of percent of the seasonal units in the census tract and generated from ACS data on number of seasonal and total number of housing units in the tract. The proxy is calculated as

$$\text{Percent of seasonal units}_i = \frac{\text{Seasonal units}_i}{\text{Total units}_i}, \quad \forall i \in \{\text{census tracts}\} \quad (1)$$

It is important to note the potential limitation of such proxy variable: as our original data is at the parcel level, while seasonality variable is at the census tract level, such mismatch created multiple challenges for the research design in terms of accuracy of measurement as well as the inclusion of fixed effects at the census tract level to the model. I describe these limitations and potential solutions in subsection 5.2. Figure 4 demonstrates the spatial distribution of seasonality units at the Shore. Census tracts located near to the shore have a higher share of seasonal housing units, which is expected as those are considered tourist areas. Surprisingly, north of the Shore has on average lower share of seasonal units compared to the middle and southern part of it.

Lastly, as this study is concerned with the interaction of seasonality and climate risk, I also introduce two interaction terms into the model: interaction between distance to shore and percent of seasonal units, and interaction between flood zone and percent of the seasonal units which serve as the main variables of interest in accordance with the research question.

3.4.3 Control Variables

Additionally, our model specification includes control variables, namely age of the building, which has been shown to have an effect on the sales price, and assessed value of land (parcel) and assessed value of improvements (building on the parcel). Whilst classical hedonic regression analysis studies generally take building characteristics into account, such as material, number of floors, presence of garage and square footage, the MOD-IV database is of substandard quality and the building description variable is imbalanced. Utilizing the MOD-IV database would therefore result in a substantial reduction in our sample size. Because of that, I instead control for land and improvement value assessed by the municipality, which should serve as a reasonable control for the market sale price as it has direct effect on it. Both of these variables are log-transformed as price

distribution tend to have right skewness, which transforms them into close to normal distribution, as can be seen in Figure 2b and Figure 2c.

3.4.4 Final Model Specification

Table 1: Summary Statistics

Variable	<i>N</i>	Mean	SD	Min	Median	Max
Sale Price (2020 \$)	2,246,512	490,680	817,915	22,280	341,629	86,588,969
Distance to Ocean (mi)	2,246,512	3.883	3.491	0.002	3.299	16.160
Flood Risk: High	2,246,512	0.299	0.458	0.000	0.000	1.000
Flood Risk: Moderate	2,246,512	0.058	0.234	0.000	0.000	1.000
Flood Risk: Low	2,246,512	0.643	0.479	0.000	1.000	1.000
Pct. Seasonal Units	2,246,512	0.188	0.258	0.000	0.045	0.807
Age (years)	2,246,512	50.422	27.965	1.000	47.000	223.000
Land Value (\$)	2,246,512	235,487	353,870	3,000	135,000	27,385,500
Improvement Value (\$)	2,246,512	217,070	237,892	100	155,000	13,250,900

Note. Flood risk dummies sum to 1. Sale price is inflation-adjusted to 2020 dollars.

Table 1 provides summary statistics of the variables included in the model. Median Price of sale in 2020 dollars is 341,629. Mean price of sales is \$490,680 with maximum value of more than 85 million dollars. This highlights skew in the distribution discussed before. Mean distance to ocean is 3.9 miles with maximum distance of 16 miles. Share of seasonal units ranges from 0 to 0.8 with mean 0.19, highlighting that there are few census tracts with high level of seasonality. It also means that there are tracts where almost all the housing units are seasonal. Average age of the dwelling is 50 years, with average assessed value of \$217,070. Average assessed value of the land is slightly higher at \$235,487.

After performing all transformation and data cleaning, as well as excluding any observations with missing values, our sample size is 2,246,512 observation of parcel-level pooled cross-sectional data for years 2015 to 2025.

Property values tend to exhibit spatial dependence, meaning that properties with similar values are often located near one another because of shared neighborhood characteristics (Basile et al., 2014; see Can & Megbolugbe, 1997). Because our model does not directly control for all unobserved local attributes (e.g., amenities, microclimate, and school quality) that may influence sale prices, we include county-level entity fixed effects. Although finer fixed effects (e.g., census tract) would better account for unobserved heterogeneity, this is not feasible given the construction of our seasonality variable. Specifically, because seasonality is measured at the census-tract level, adding census-tract fixed effects would absorb this variation and prevent estimation of its coefficient. Since the dataset is pooled cross-sectional data, we also include year fixed effects.

Final model is specified as follows:

$$\begin{aligned} \ln(\text{Sale_Price}_{it}) = & \beta_0 + \beta_1 \log(X_{\text{distance to shore}}) + \beta_2 X_{\text{seasonality}} + \beta_3 X_{\text{FEMA zone}} \\ & + \beta_4 (X_{\text{FEMA zone}} \times X_{\text{seasonality}}) + \beta_5 (\log(X_{\text{distance to shore}}) \times X_{\text{seasonality}}) + \gamma' \mathbf{C}_{it} + \alpha_i + \delta_t + u_{it} \end{aligned} \quad (2)$$

where $\ln(\text{Sale_Price}_{it})$ is the natural log of the inflation-adjusted sale price for parcel i in year t ; $X_{\text{distance to shore}}$ is the log-transformed distance from the parcel centroid to the nearest shoreline; $X_{\text{seasonality}}$ is the share of seasonal housing units in the census tract; $X_{\text{FEMA zone}}$ is a categorical indicator of flood risk zone (high, moderate, or low); $\gamma' \mathbf{C}_{it}$ is a vector of control variables including log-transformed assessed land value, log-transformed assessed improvement value, and building age; α_i denotes county fixed effects; δ_t denotes year fixed effects; and u_{it} is the idiosyncratic error term.

Additionally, main model is compared to ordinary least squares (OLS) model, fixed time effects model, and model with fixed time effects and fixed entity effects on the census tract level. Due to sample size ($n = 2,246,512$), clustered standard errors are reported on county or census tract level for the corresponding fixed effects models.

4 Results

Results of the regression analysis are reported in Table 2.

First, the results of the OLS model highlight that multiple variables of interests are significant at the conventional level. Distance to ocean, which has a negative coefficient, meaning that 1% increase in distance increases sale price by 0.04% holding other variables constant. Being in the moderate flood risk zone decreases sell price by approximately 2.64% compared to the low flood risk zone, however being in the high risk zone does not show similar significant effect. Seasonality variable is significant and has a positive coefficient, meaning that a 10 percentage point increase in the share of seasonal units is associated with approximately a 1.9% increase in sale price, holding other variables constant. However, this main effect cannot be interpreted in isolation: because the model also includes the interaction $\log(\text{Distance}) \times \text{Pct. Seasonal}$ ($\hat{\beta} = -0.196$), the full marginal effect of seasonality on log sale price is $0.188 - 0.196 \times \log(\text{Distance})$. At close distances the net effect is positive, but it diminishes and eventually reverses as distance to Shore increases, meaning the positive seasonality effect on price is concentrated in parcels nearest to the water. All of the interaction terms are significant, with $\log(\text{Distance}) \times \text{Pct. Seasonal}$ and $\text{High Risk} \times \text{Pct. Seasonal}$ having a negative effect on the sale price, while $\text{Moderate Risk} \times \text{Pct. Seasonal}$ surprisingly has a positive coefficient. The model's R^2 is 0.66, which means that 66% of variation in the data is explained by the model. However, as study's sample is pooled cross-sectional data, we can assume that OLS models overestimate coefficients due to unobserved heterogeneity that affects sales price, such as neighborhood characteristics. We can also assume that the model underestimates standard errors due to the size of the sample, and therefore inference is affected.

Table 2: Hedonic Regression Results

	log(Sale Price, 2020\$)			
	OLS	Year FE	Year + County FE	Year + Tract FE
	(1)	(2)	(3)	(4)
Constant	3.676*** (0.0059)			
log(Distance to Ocean)	0.0412*** (0.0004)	0.0451 (0.0206)	0.0410* (0.0146)	-0.0637*** (0.0102)
Flood Risk: High	0.0012 (0.0013)	-0.0002 (0.0015)	-0.0068 (0.0079)	0.0005 (0.0134)
Flood Risk: Moderate	-0.0264*** (0.0018)	-0.0319 (0.0238)	-0.0363 (0.0239)	-0.0161 (0.0132)
Pct. Seasonal Units	0.1876*** (0.0045)	0.1955 (0.1007)	0.2261** (0.0593)	
Age (years)	-0.0016*** (1.22×10^{-5})	-0.0016** (0.0003)	-0.0016*** (0.0002)	-0.0012*** (0.0002)
log(Land Value)	0.3899*** (0.0005)	0.3994*** (0.0438)	0.4007*** (0.0451)	0.3366*** (0.0381)
log(Improvement Value)	0.3721*** (0.0005)	0.3686*** (0.0091)	0.3665*** (0.0115)	0.3544*** (0.0153)
log(Distance) $\times$ Pct. Seasonal	-0.1960*** (0.0013)	-0.1978*** (0.0227)	-0.1883*** (0.0122)	
High Risk $\times$ Pct. Seasonal	-0.0618*** (0.0052)	-0.0486 (0.1090)	-0.0495 (0.1024)	
Moderate Risk $\times$ Pct. Seasonal	0.0145** (0.0067)	0.0238 (0.1435)	0.0389 (0.1377)	
Standard-Errors	IID		County	Census Tract
Observations	2,246,512	2,246,512	2,246,512	2,246,512
R ²	0.66504	0.71732	0.71783	0.74351
Adjusted R ²	0.66504	0.71732	0.71782	0.74348
Year fixed effects		✓	✓	✓
County fixed effects			✓	
Census Tract fixed effects				✓

Note. Significance codes: * $p < 0.05$; ** $p < 0.01$; *** $p < 0.001$. Standard errors in parentheses.

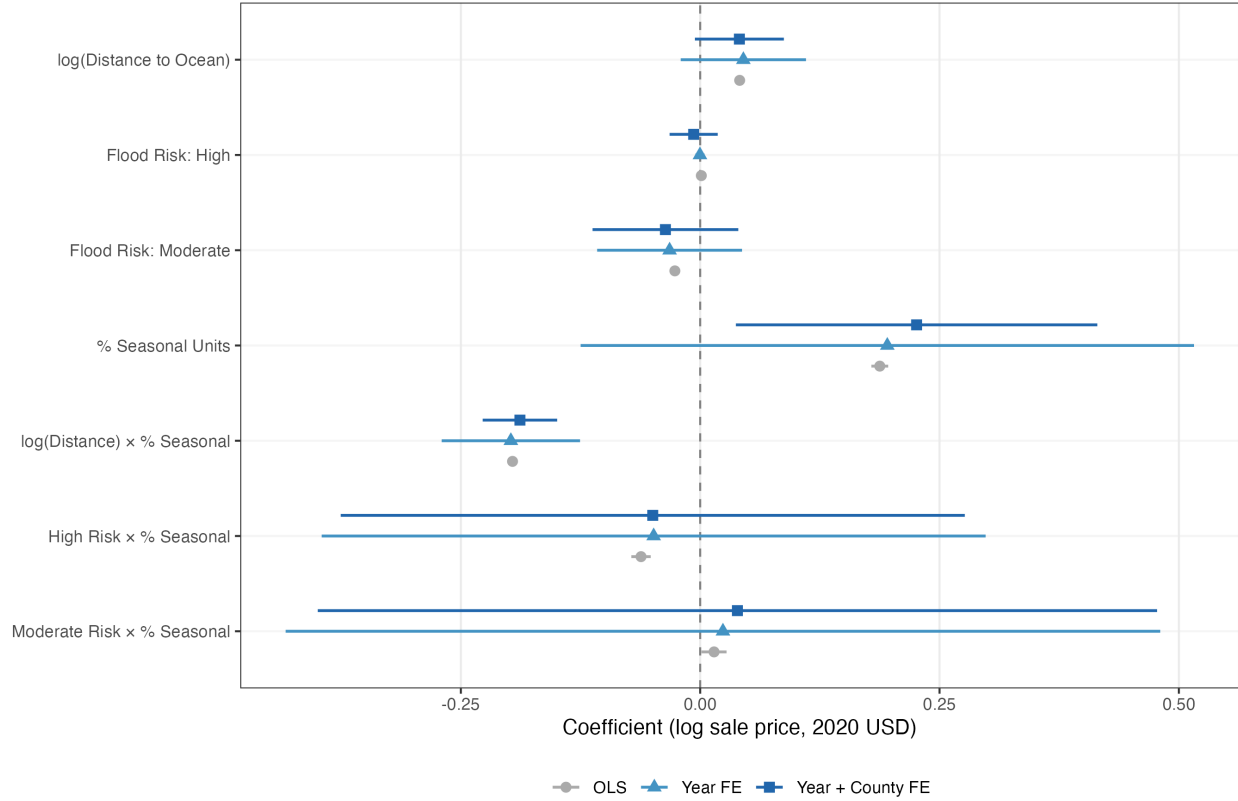


Figure 5: *Coefficient estimates for variables of interest across hedonic regression specifications.* *Note.* Points denote point estimates with 95% confidence intervals. Gray circles represent the baseline OLS model; blue triangles represent the model with year fixed effects; dark blue squares represent the model with year and county fixed effects. The vertical dashed line at zero serves as a reference for null effects. Wide confidence intervals for the interaction terms reflect the small number of clustering units ($n = 4$ counties) rather than model misspecification.

When the year fixed effects are introduced, R^2 increases to 0.71, signifying that time variation has significant explanatory power in the model. However, this also leads to most of the coefficients of variables of interest losing significance due to the fact that standard errors are clustered on the county level. However, interaction between distance and seasonality remains significant at the conventional level. Moreover, magnitude of the coefficient only slightly changes, indicating the correct specification of the model and importance of these variables.

When the county level fixed effects are added in addition to the year fixed effects, R^2 marginally increases, indicating that county-level fixed effects have very little explanatory power. However, some of the coefficients, namely distance to the shore and percent of seasonal units, gain significance, indicating that standard errors of model 2 were inflated due to between-county confounding. Importantly, most of the coefficients remain stable, indicating the correct specification of the model. The only exception is coefficient for the seasonality variable which increases from 0.1955 to 0.2261.

Lastly, when the standard errors are clustered at the census block level, R^2 increases from 0.71 to 0.74, indicating a better fit of the model compared to the model 3. It also means that census tracts account for unobserved heterogeneity in the data better. Moreover, distance to shore coefficient gains significant but the direction of the effect is changes. This is explained by the fact that the effect that was previously captured by the interaction term between seasonality and distance to shore have moved to the distance to shore variable. It is also important to note, that all the control variables remain significant in all 4 models and do not radically fluctuate in coefficients from model to model, indicating correct model specification.

Despite most of the coefficients for the IVs of interest are not statistically significant at the conventional level, there is an argument to be made that it is caused by the clustered standart error specification, rather than model misspecification or no assosiation between variables present. When the standard errors are clustered at the county level, SEs are inflated due to small number of entities ($n=4$). It is further proven by the fact that introducing fixed effects barely moves magnitude of the coefficients. Figure 5 highlights this idea: while point estimates remain the same with very little variation, low number of clusters for standard error inflates them and therefore leads to loss of statistical power rather than absence of an effect. This limitation and its potential solutions are further described in subsection 5.2.

5 Discussion

5.1 Seasonality and Climate Risk in Housing Prices

The regression results revels several things about the seasonality and capitalization of climate risk at the Jersey Shore.

First, it is evident that FEMA flood zone does not have any significant effects on the sale price. Therefore, this study does not find any statistically significant association of flood zones and sales price, as well as interaction between flood zone and seasonality. This could be explained by the variety of factors, including local beliefs and information accessibility that has shown to have effect on capitalization of climate risk into housing prices (Baldauf et al., 2020; Chen, 2025; Hino & Burke, 2020).

Second, there is a weak positive association between seasonality and sales price, indicating that the more seasonal, or in other words, tourist oriented, the area of the parcel becomes, the higher is the sale price for the parcel. The speculative explanation for it is that when areas becomes seasonal, meaning that other parcels within the census tract are seasonal, the sale transactions that occur are oriented towards similar utilization of the parcel. In other words, as market actors see that their parcel is located in the area with high seasonality and the demand for the housing in the area is therefore high, they increase the selling price as they understand that other market actors are eager to invest into such property due to its potential profit generation nature.

Third, we find the statistically significant association between distance to the shore and sale price. The negative coefficient reflects well-documents in the literature coastal amenity premium.

Being close to the ocean, having ocean view and proximity to the beach is amenity that market actors value, increasing sale price of the parcel. Notably, this premium exists despite properties closer to the ocean having higher climate risks due to flooding, natural hazards and long-term sea level rise. This finding is consistent with literature documenting overvaluation of flood-exposed coastal properties (Gourevitch et al., 2023; Murfin & Spiegel, 2020).

Forth and mostly importantly in regards to the research question of the study, is that we find interaction between distance and percent of seasonal units significant across all models specification. Negative coefficient highlights that properties located closer to the ocean in the locations with higher share of seasonal housing units are valued higher, and this effect decays with distance. Specifically, the full marginal effect of a unit increase in *pct_seasonal* on log sale price is $0.188 - 0.196 \times \log(\text{Distance})$, meaning the seasonality premium is positive and largest for properties close to shore, diminishes with distance, and reverses for properties far inland. More broadly, it means that price premium for seasonality is not uniform across Jersey Shore. This finding is economically intuitive: shore access does matter for seasonal units, as buyers who are interested in getting a second home or establishing a short-term rental want to be as close to the beach as possible.

5.2 Limitations and Future Research

Results of this study should be interpreted considering several limitations. These limitations led to potential avenues for future work, discussed below.

First, as has been previously discussed in the subsection 3.4.2, one of the independent variables of interests, percent of the seasonal housing units, is collected at the level (census tract) other than the other variables, which creates modifiable areal unit problem (MAUP) (Lee et al., 2016). As census tracts are spatial units that have nothing to do with the housing market, during data generation process housing units that share same seasonality character can be assigned different values due to being in different census tracts. Moreover, MAUP can affect regression results on the respective variable, as changing unit of data collection, for instance, from census tract to census block or ZIP code, will respectively change regression coefficients, undermining the robustness of study findings.

One of the potential solutions to this problem for current study is to utilize alternative proxy measure, for instance through owner address. MOD-IV data provides information on owner of the parcel address, so if we compare it to the physical address of the parcel, it is possible to generate the variable that shows whether owner lives in the parcel, or whether he lives in another area of state or another state. Quick validation of this variable yielded Pearson correlation coefficient value of 0.7, when compared against aggregated owner proxy to the census level seasonality. However, it is important to note that such proxy would not be able to capture the distinction between renters and seasonal residents. Therefore, additional efforts are required for the design of good seasonality proxy.

Second, there is a limitation in clustered standard errors design of the hedonic regression,

discussed in section 4. While reporting clustered standard errors is required considering the sample size of the study, there is a small number of clusters issue which inflates standard errors leading to loss in statistical power and not significant coefficients. Potential solution to that limitation in future research might include clustering standard errors on a larger scale, such as for instance, state municipalities.

This also leads to another limitation. While introducing time fixed effects has shown to be beneficial for model fit and accounting for unobserved heterogeneity that affects sales price, introducing entity fixed effects on the county level does not yield significant improvement in the model. Similarly to the previous limitation, future research should consider implementing fixed effects at a larger scale, or moving towards other approaches that account for spatial dependence, such as spatial error and lag models.

Lastly, while our control variables have proved to be robust, hedonic models of property values usually benefit from introducing broader range of building characteristics controls. MOD-IV data does provide that information in form of the building description variable, though is parsing it into separate variables was a challenged during data cleaning. Therefore, future studies should consider way of generating such variables in order to include better building chanceries controls into hedonic models.

6 Conclusion

This study has examined interaction of seasonality and climate risk capitalization in housing market at the Jersey Shore. Using tax accessor MOD-IV data on parcel sales, as well as FEMA flood maps data and spatial analysis tools, I generate pooled cross-sectional data for 10 years of sales transactions. I then perform hedonic regression analysis with year and county fixed effects on log-transformed sales price against flood zones, distance to shore, share of seasonal housing units and interaction terms between those variables, as well as specified control variables.

Main finding of this study reveal that

6.1 Policy implications

Acknowledgments

I am grateful to Marc Pfeiffer and Daniel Farnsworth for proving simplified assessed to the Historical MOD-IV database, which has saved me enormous amount of time and allowed to focus on other aspects of this project.

Data Availability

All the data used in this paper is publicly available online.

AI Usage

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